

Commissioners for His Majesty's Revenue and Customs v HFFX LLP; Atkins and others v Commissioners for His Majesty's Revenue and Customs

[2026] UKSC 17; On appeal from [2024] EWCA Civ 813

United Kingdom Supreme Court

Jurisdiction

England and Wales

Area of law

Tax law - income tax, partnership taxation, deferred remuneration arrangements

Legal question

Whether profits allocated to a corporate member (GSAM) under a Capital Allocation Plan (CAP) deferred remuneration arrangement constitute profit shares of individual members under section 850 of the Income Tax (Trading and Other Income) Act 2005 (ITTOIA), and whether deferred remuneration received by individual members is taxable under section 687 of ITTOIA as income not otherwise charged to tax or under Chapter 4 of Part 13 of the Income Tax Act 2007 as sales of occupation income.

Key facts

HFFX is a limited liability partnership engaged in high-frequency foreign exchange (forex) trading. The individual members were previously employed by another company in the GSA group and spun out into HFFX in 2010. Under the CAP, approximately 50% of annual profits that would otherwise have been allocated to individual members were instead allocated to a corporate member (GSAM) for deferred remuneration purposes. GSAM invested these profits in GSA fund shares and subsequently reallocated the proceeds to individual members through Special Capital over three-year tranches. The arrangement had both commercial purposes (retention and incentivisation of members) and the purpose of minimising tax liability. Individual members had no contractual right to receive deferred amounts unless specific conditions were met, including remaining as members or restricted members (good leavers). GSAM exercised discretion in determining whether and how to reallocate Special Capital, subject to Braganza obligations requiring rational exercise of discretion. The arrangements operated from 2010 until 2015 when the HFFX business transferred to another entity.

Holding

The Supreme Court unanimously dismissed HMRC's appeal in relation to section 850 of ITTOIA and dismissed the individual members' appeal in relation to section 687 of ITTOIA. Lord Sales held that section 850 requires a contractual right to share in partnership profits subsisting during the relevant period of account for those profits to be translated into an individual partner's income in that period. The profits allocated to GSAM under the CAP were not part of the individual members'

profit shares because individual members had no contractual right in the relevant period to receive those sums as part of the ordinary profit allocation process; they only had a right to be considered for deferred awards subject to discretionary exercise by GSAM. Regarding section 687, the Court held that there was a sufficient link between the source (the exercise of discretion by GSAM in the context of legal rights conferred by the LLP Deed) and the recipients for income tax to be charged on the deferred remuneration amounts received. The decision in BlueCrest CA was followed on the section 850 issue. The Court declined to determine the Chapter 4 sales of occupation income issue as it was not determinative given the section 687 finding.

Significance

This decision clarifies the interpretation of section 850 of ITTOIA in relation to deferred remuneration arrangements in partnerships and limited liability partnerships. It establishes that section 850 applies only to profits to which a partner has a contractual right subsisting during the relevant period of account, not to discretionary deferred payments. It confirms that the "look-through" basis of partnership taxation under ITTOIA requires certainty as to partners' rights in the relevant period. The decision validates the use of contractual analysis based on the actual terms of partnership deeds in determining tax treatment. It also clarifies that section 687 can apply to discretionary payments made pursuant to contractual discretion governed by Braganza obligations, establishing that a source for section 687 purposes can arise from the exercise of discretion in the context of a legal agreement conferring certain rights.

Precedent impact

The decision affirms and follows the reasoning in BlueCrest CA, extending its application to the present case. It establishes that the interpretation of section 850 in BlueCrest CA is the correct approach and applies consistently across similar deferred remuneration arrangements. The decision clarifies the scope of section 687 by confirming that Braganza obligations (requiring rational and purposeful exercise of contractual discretion) are sufficient to establish a source of income for tax purposes. The judgment provides authoritative guidance on the meaning of "profit-sharing arrangements" under section 850 by reference to the contractual rights of partners existing during the relevant period of account. The Court declined to rule on the Chapter 4 sales of occupation income issue, leaving that question open for future determination when it is determinative and the Court has full assistance from Court of Appeal decisions.

Full judgment URL

<https://www.bailii.org/uk/cases/UKSC/2026/17.html>